

ASML HOLDING N.V.

Euronext Amsterdam: ASML | Nasdaq: ASML | Lithography systems (EUV and DUV), metrology, installed base service and upgrades | Veldhoven, the Netherlands

Tommy Lau | 7 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	Target price: None (no call)	Last price: €1,636.40 (Euronext Amsterdam close, 6 October 2026)	Upside: Base value €1,697 (+4%)
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ASML's machines are booked to 2027, so its earnings are unusually visible. At €1,636.40, the price already pays for them.

ASML is the only maker of EUV lithography machines, which print the finest layers of AI chips. On 7 October I argued they are sold out and booked a year or two ahead, and grow only about 30% a year. The July results support it: about 65 low NA machines ship in 2026, equal to capacity, and the planned 85 for 2027 are close to fully covered with orders.

That makes the next two years unusually visible: my 2027 EPS of €50.78 is within 2% of consensus. The question is the multiple. At 28 times 2028 earnings, the price needs about 94 low NA machines in 2028, between the 85 planned for 2027 and the 110 ASML is investigating. I take 100.

My call: NO CALL, medium conviction. My base value, 28 times 2028E EPS of €60.59, is €1,697, up 4%, inside my no-call band. The bear case is €1,013 (down 38%) and the bull case €2,208 (up 35%). On earnings the shares look roughly fairly priced; a DCF falls below the price only on below-history cash conversion (€1,226 at 95%, €1,481 at 2025's 115%).

Stock data

LAST PRICE

€1,636.40, close 6 October 2026; Nasdaq ADR US\$1,834.10; past-year closes €813.90 to €1,721.40

MARKET VALUE

About €628.5bn on 384.1m shares; EV €622.9bn

CASH LESS LONG-TERM DEBT

€5.6bn, 28 June 2026

P/E ON CONSENSUS

42.0x 2026, 31.6x 2027 (Zacks, converted); peers 36.1x on FY ending 2027

2026 GUIDE (15 JUL)

Total net sales €43bn to €45bn; gross margin 54% to 56%; about 65 low NA EUV shipped

CAPACITY

Low NA EUV 65 (2026), about 85 planned (2027), 110 under study (2028)

2030 (INVESTOR DAY 2024)

Revenue €44bn to €60bn; gross margin 56% to 60%; update at CMD on 10 June 2027

NEXT RESULTS

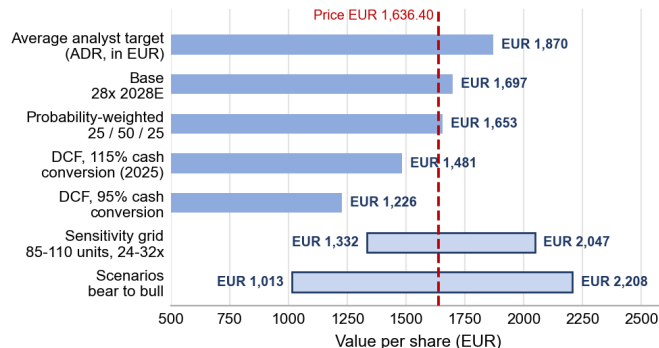
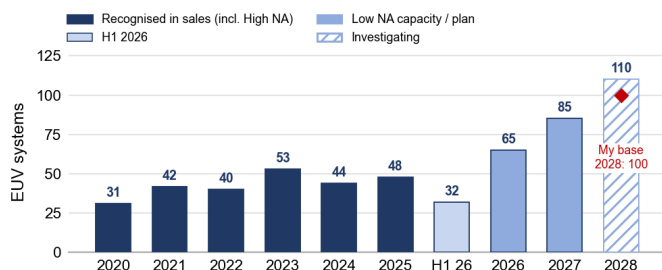
Q3 2026 on 14 October 2026 (ASML financial calendar)

Key financials (US GAAP; calendar years)

€ million unless stated	2024A	2025A	H1 2026A	2026E*	2027E*	2028E*
Low NA EUV units	42	44		65	85	100
EUV system sales	8,321	11,603		17,056	23,683	29,281
DUV and metrology systems	13,447	12,872		16,090	17,377	18,245
Installed Base Management	6,494	8,193	5,249	10,815	11,896	13,086
Total net sales	28,263	32,667	18,093	43,960	52,956	60,612
Gross margin (%)	51.3%	52.8%	53.5%	55.0%	56.5%	57.5%
Income from operations	9,023	11,301	6,614	17,842	22,970	27,302
Diluted EPS (€)	19.24	24.71	14.73	39.49	50.78	60.59
Consensus EPS (€)				38.92	51.71	n/v
P/E at €1,636.40 (x)	85.1	66.2		41.4	32.2	27.0
China, share of total net sales	36.1%	29.1%		about 20%		

*2026E to 2028E are my own estimates. Units for 2024 and 2025 are low NA systems recognised in sales; 2026 and 2027 are shipments equal to capacity. Consensus is Zacks EPS for the ADR in US\$, converted at the ECB rate of 6 October 2026 (stockanalysis.com has €38.35 for 2026); n/v: 2028 consensus not verified. History from the 2025 20-F and the Q2 2026 6-K.

Two charts: the count behind the claim, and a value close to the price

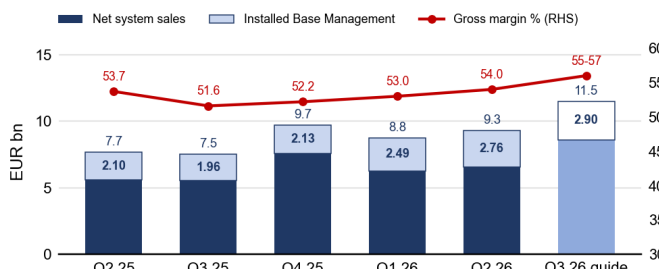
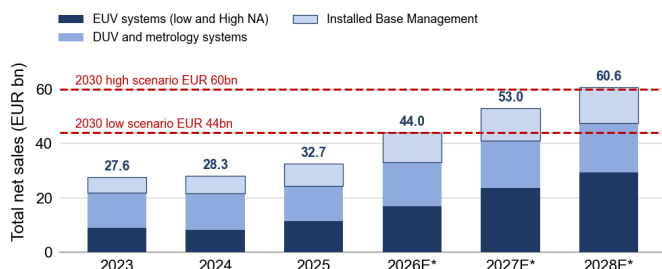


Left: EUV systems recognised in sales 2020 to 2025 (including High NA), then ASML's low NA capacity: 65 in 2026, about 85 planned for 2027, 110 under study for 2028; my base is 100. Right: value per share from the scenarios, the sensitivity grid, the DCF at 95% and 115% cash conversion and the weighted case, against the €1,636.40 price (red) and the average analyst target converted to euros.

The thesis: one workshop, its ovens promised a year ahead

One workshop in the whole country makes the special oven every bakery needs. Next year's ovens are already promised, and it can add only a few each year, as fast as its glassmaker can make oven doors. For an owner of the workshop, demand is not the unknown for two years. The unknowns are how many ovens, at what price, and what it earns servicing ovens already sold.

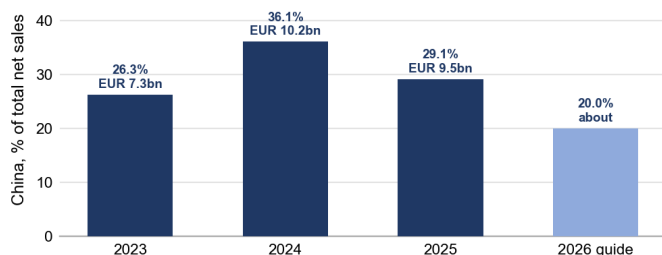
The count is set. ASML expects to ship about 65 low NA EUV machines in 2026, equal to capacity. It plans about 85 for 2027 and is "close to being fully covered with orders". For 2028 it holds "a significant number" of orders and is investigating 110, which the finance chief called pre-empting demand, as transcribed. Each step comes from the existing footprint. ASML is not claiming a shortage: Christophe Fouquet said "the capacity is there to meet the demand but the demand is still fluctuating", the main counterpoint to booked. **The price per machine is rising:** low NA sales per system rose from €187m in 2024 to €237m in 2025, my arithmetic, as the NXE:3800E took over; four High NA machines averaged €289m.



Left: total net sales by segment, 2023 to 2028E, against the 2030 range from the November 2024 Investor Day; 2026E to 2028E are my estimates. Right: net system sales and Installed Base Management by quarter, with gross margin; Q3 2026 is the guide (midpoint for sales).

The installed base pays twice. Installed Base Management grew 26.2% in 2025 to €8.2bn and 28.1% in the first half of 2026. In Q2 it beat guidance by almost €300m, "driven primarily by additional upgrade business", and its "very high margin components" lifted gross margin to 54.0%. As my piece noted, NXE:3800E field upgrades moved "a substantial portion of EUV system revenue" into this line. An upgrade adds wafers per hour to a machine already installed, the one way round the queue. In 2025 systems earned a 53.5% gross margin and the installed base 50.9%, my arithmetic from the cost lines.

The supplier behind it. ASML bought €4.4bn from Carl Zeiss SMT in 2025, against €3.3bn in 2023, and owns 24.9% of the ZEISS holding company. **Not everything is EUV.** DUV and metrology brought €12.9bn in 2025 and are guided up about 25% this year. China took 36.1% of total net sales in 2024 and 29.1% in 2025; ASML expects around 20% in 2026. **Customers are few:** four each took over 10% of 2025 sales, together 61.2%. ASML does not name them; Taiwan and South Korea each took about a quarter. I checked the piece's figures against the 20-F, the releases and ASML's transcript; they stand.



Left: China as a share of total net sales, from the 2025 20-F, and ASML's 2026 expectation. Right: ASML month-end close on Euronext Amsterdam, October 2024 to the 6 October 2026 close (retrieved 7 October 2026; Euronext gives two years), against my base value.

Variant perception: what the market prices in, and where I differ

The price. ASML trades at 42.0 times 2026 and 31.6 times 2027 consensus, and at 27.1 times my 2027 income from operations on enterprise value. On the ADR it trades at 31.5 times consensus for 2027, below the 36.1 times median of Applied Materials, Lam Research, KLA and Tokyo Electron for their fiscal years ending in 2027. Those end two to nine months earlier, so on calendar 2027 their multiples would be lower and the gap narrower. The obvious objection is that the only EUV maker deserves a premium. My answer: its growth is booked, and it is capped at steps of about 30% a year. The market prices a known path.

What the price needs. In October 2027 the market will price 2028. At 28 times, €1,636.40 needs 2028 EPS of €58.44: about 94 low NA machines with my other base assumptions. I take 100. On the next two years I barely differ: my 2027 EPS is 1.8% below consensus.

Where I differ. After 2028. On my numbers ASML reaches €60.6bn of revenue in 2028, the top of the €44bn to €60bn range it gave for 2030, two years early. A DCF at an 8.5% cost of equity gives €1,226 with free cash flow at 95% of net income, and €1,481 at the 115% of 2025. At 115%, the price needs net income to grow about 10% a year from 2029 to 2032 (16% at 95%). The Capital Markets Day on 10 June 2027 is where ASML will say whether the next leg is there.

Valuation, with the working

I value ASML on 28 times 2028E EPS and build revenue by segment. **2026E:** EUV +47% (guide over 45%), non-EUV +25%, installed base +32%: €44.0bn, the middle of the guide, a 55.0% gross margin and EPS of €39.49. **2027E:** 85 low NA at €261m, 5 High NA at €300m, non-EUV +8%, installed base +10%: €53.0bn, 56.5%, EPS €50.78. **2028E:** 100 low NA at €269m, 8 High NA: €60.6bn, 57.5%, EPS €60.59.

The multiple. At the end of 2024 the shares traded at 27.5 times the EPS ASML then earned in 2025; today 32.2 times my 2027. One year on, my EPS growth slows from 29% to 19%, so I take 28 times. On the base value, EV is 23.7 times 2028E income from operations.

Scenarios: three cases, twelve months out

Case	What happens in 2028	Low NA units	Gross margin	P/E	EPS 2028E	Value	Change	Weight
Bear	Memory and China digest; no step; DUV -10%	85	55.0%	22x	€46.04	€1,013	down 38%	25%
Base	One more step, short of the 110 under study	100	57.5%	28x	€60.59	€1,697	up 4%	50%
Bull	110 machines, richer mix, High NA ramps	110	59.0%	32x	€68.99	€2,208	up 35%	25%
Weighted	25 / 50 / 25					€1,653	up 1%	

2026 and 2027 are the same in all three cases, because 2027 output is close to fully covered with orders. The band: long when my base value is at least 15% above the price, short when it is at least 25% below, no call in between.

Sensitivity: 2028 low NA units against the P/E

2028 low NA units	24x	28x	32x
85	€1,332	€1,555	€1,777
100	€1,454	€1,697	€1,939
110	€1,535	€1,791	€2,047

Five of the nine cells sit above the price, but only two clear it by 15% or more, both at 32 times with 100 or 110 machines. None sits 25% below. The multiple moves the value more than the count, as a booked order book should. The DCF, at 8.5% and 3% terminal growth, gives €1,226 at my 95% cash conversion, below 2024's 120% and 2025's 115%, and €1,481 at 115%. It sits below the price mainly because my conversion is below history. Every figure is live in the model.

Peer landscape

Company	Listing	Year end	P/E FY ending 2027	What they make
ASML (ADR)	Nasdaq: ASML	Dec 2027	31.5x	Lithography systems, metrology, installed base service and upgrades
Applied Materials	Nasdaq: AMAT	Oct 2027	29.0x	Deposition, etch, ion implant, inspection
Lam Research	Nasdaq: LRCX	Jun 2027	35.8x	Etch and deposition
KLA	Nasdaq: KLAC	Jun 2027	36.3x	Inspection and metrology
Tokyo Electron	Tokyo: 8035	Mar 2027	37.2x	Coater/developers, etch, deposition, cleaning

Closes of 6 October 2026 over consensus EPS for the fiscal year ending in 2027: Zacks for the US listings, stockanalysis.com (S&P Global) for Tokyo Electron; retrieved 7 October 2026. Peer median 36.1 times. Multiples only; no view on the peers' shares.

Catalysts

When	Event	What I watch
14 October 2026	Q3 2026 results	2027 and 2028 order coverage; China; Q4 implied by the €43bn to €45bn guide
Late January 2027 (not confirmed)	Q4 and full year 2026 results	Whether 2027 is still close to fully covered; 2028 capacity
10 June 2027	Capital Markets Day	New long-term targets to replace the 2030 range
Any time	Export controls (MATCH Act, US enquiries)	DUV to China; service on installed tools

Risks: what would hurt the view

China and export controls. China falls to around 20% of sales this year. The 20-F says export control changes "may have a material impact" on volume, mix and timing. The MATCH Act, introduced in Congress on 2 April 2026, would ban DUV immersion sales to China and require licences to service tools in covered Chinese fabs, which reaches Installed Base Management too; TrendForce reported on 17 April that a revised version dropped some curbs but kept both. In June Bloomberg reported US concerns that an EUV system may have reached China; ASML told Reuters it has "never shipped an EUV machine to China". No evidence has been made public. **Few customers, one cycle.** Four customers took 61.2% of 2025 sales, and memory system sales are guided up over 75% this year. If DRAM prices turn, the 2028 step goes first.

Fewer machines per layer. High NA saves fab space by "requiring fewer systems overall", and faster low NA machines and upgrades do the same. **ZEISS.** A shortfall caused by ZEISS would support my piece's claim but cut earnings that year. **Upside.** The Capital Markets Day could set targets well above a 2030 range my base already reaches in 2028, and Intel now uses High NA on some layers of its 18A process.

What would change my mind

Into a long: a price at or below about €1,475 with my numbers unchanged, or results that lift my 2028E EPS to about €67.21 or more. **Into a short:** a price at or above about €2,262, or 2028E EPS at or below about €43.83.

The view is wrong if, by October 2027, ASML says 2027 low NA shipments will fall more than 10% short of about 85 because customers pushed out or cancelled orders, which points to my bear case; or it confirms 2028 low NA capacity of 110 or more and says 2028 is close to fully covered, which points to my bull case.

Conclusion

My piece argued that ASML's EUV machines are sold out, booked a year or two ahead, and grow about 30% a year. The July results support both halves, which makes the next two years unusually visible. The shares already pay for it: at €1,636.40 the price needs about 94 low NA machines in 2028 at 28 times. My call: NO CALL, medium conviction. Base value €1,697, up 4%, range €1,013 to €2,208; the DCF sits lower only on below-history cash conversion.

Appendix: forecast assumptions

Assumption	2026E	2027E	2028E	Basis
Low NA EUV units	65	85	100	Capacity 65; plan about 85; 110 under study
Low NA sales per system, €m	249	261	269	2025: €237m; 2027 mix "more positive"
High NA units at €300m	3	5	8	Mine; 2025: four at €289m each
Non-EUV growth	25%	8%	5%	Guide about 25% for 2026
Installed base growth	32%	10%	10%	Guide over 30% for 2026
Gross margin	55.0%	56.5%	57.5%	Guide 54% to 56%; 2030 range 56% to 60%
R&D and SG&A, €m	6,336	6,950	7,550	Q3 guide R&D €1.2bn, SG&A €0.4bn
Tax rate; diluted shares, m	17%; 384.5	17%; 382.0	17%; 379.5	Guided about 17%; €12bn buyback to 2028

Full workings, with live formulas, in the accompanying model, 2026-10-07_ASML_Model.xlsx.

Sources

ASML Annual Report 2025 on Form 20-F, filed 25 February 2026. ASML Q4 2025 results, Form 6-K, 28 January 2026. ASML Q2 2026 results, Form 6-K, 15 July 2026: release, presentation and US GAAP statements. ASML transcript of its Q2 2026 investor call, 15 July 2026; the Q&A as transcribed by Webull. Share prices from Euronext Amsterdam historical data; ADR and peer closes, shares outstanding and Tokyo Electron consensus from stockanalysis.com; Zacks consensus; ECB reference rates; all retrieved 7 October 2026. Bloomberg report of 18 June 2026 as carried by NL Times; ASML statement to Reuters, 19 June 2026; TrendForce, 17 April 2026. Estimates for 2026 to 2028, the scenarios, the DCF and the valuation are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 7 October 2026, thephysicallayer.fyi/journal/asml-booked-ahead; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in ASML. Personal research, not investment advice.

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